MGT411

Quiz No.3 Jan2026

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90% To 100% Marks

1. Bank wishes to hold excessive reserves of 7% of deposits, it would keep reserves of 9% of $95,000, what amount will be available for the loans?

Options:

- A) 89,300
- B) 79,800
- C) 86,450
- D) None of give

Answer: D) None of give

(Correct loan amount = $88,350)

2. Which of the following type/s of transaction/s affect the balance sheets of both the central bank and the banking system?

Options:

- A) A foreign exchange intervention

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- B) An open market operation
- C) Central bank's extension of a discount loan
- D) All of the given options

Answer: D) All of the given options

3. Which type of credit is used for short term basis by the central bank?

Options:

- A) Secondary credit
- B) Seasonal credit
- C) Primary credit
- D) None of above

Answer: C) Primary credit

4. Which is not a principle of central bank design?

Options:

- A) Fiscal policy by competent persons
- B) Decision making by committee

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- C) Accountability and transparency
- D) Independence

Answer: A) Fiscal policy by competent persons

5. The means for assuring accountability and transparency:

Options:

- A) Are the same for all successful central banks
- B) All of the given options
- C) Are different across the central banks of most countries
- D) Involve setting specific numerical targets so there is no confusion as to what the goal is

Answer: B) All of the given options

6. When we draw a line of 45 degree in the inflation and money growth axes, left side of 45

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degree line will be called?

Options:

- A) Money Growth < Inflation
- B) Inflation > Money Growth
- C) Money Growth = Inflation
- D) None of above

Answer: A) Money Growth < Inflation

7. The monetary liabilities of the Federal Reserve include:

Options:

- A) Government securities and discount loans
- B) Currency in circulation and reserves
- C) Currency in circulation and reserves
- D) Government securities and reserves

Answer: B) Currency in circulation and reserves

8. One reason given for more central bankers

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releasing their decisions publicly is:

Options:

- A) If monetary policy is going to be stabilizing speculation about central bankers decisions should be minimized
- B) To give people time to understand it
- C) Most people do not understand monetary policy so it really doesn't do any harm to release the decisions publicly
- D) So that central banks across the world can coordinate their policies

Answer: A) If monetary policy is going to be stabilizing speculation about central bankers decisions should be minimized

9. The Fed lacks complete control over the money supply because it cannot perfectly predict:

Options:

- A) Discount borrowing by the banks

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- B) Excess reserves held by banks
- C) Any of the above
- D) Shifts from deposits to currency

Answer: C) Any of the above

10. If the required reserve ratio is equal to 10%, a single bank can increase its loans up to a maximum amount equal to:

Options:

- A) 10% of its excess reserves
- B) 10 times its excess reserves
- C) Its total reserves
- D) Its excess reserves

Answer: D) Its excess reserves

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